NEGATIVE INTEREST RATE POLICY (NIRP)

In some countries, the central bank has experimented with cutting base interest rates to a negative figure, for instance, -0.01 percent. If this rate is passed on by commercial banks, it means that depositors must pay a percentage of their deposit to the bank. A central bank might impose a negative interest rate to encourage spending and investment, and discourage savers from hoarding cash. Commercial banks, however, usually tend to be reluctant to pass negative interest charges on to customers, particularly small businesses, as small depositors may be driven to withdraw their savings as cash to avoid fees. Large depositors will pay negative rates to gain security and a stable currency account.

40.5%
Argentina's rate of inflation in April 2016, the world's highest

When interest rates are lowered

Lower interest rates make it cheaper to take out loans, and hence to spend more money. Saving becomes less attractive as interest rates are low. With more money in circulation, demand for products and services rise, stimulating businesses and increasing employment.